

↓ HEALTH INSURANCE

Everyone needs health insurance. There's now huge political will to make sure everyone has coverage, but don't hold your breath. (Never a good idea, but especially if you don't have insurance.) It could take several years for universal health care to become a reality. Meanwhile, it's up to you to make sure you're covered. If you're lucky, you're insured through your job.

Although you probably have to pay for some portion of the annual cost, the amount you pay is much less than what you'd pay if you had to purchase insurance on your own. If neither you nor your spouse has an employer who provides coverage for you—if you freelance, run your own business, work for a small company that doesn't offer insurance, or are unemployed, for example—you're responsible for your own health insurance.

Because individual coverage is so expensive, it may be tempting to go without it. (About one in three people in their early twenties do just that.) Don't. If you get into an accident and you're hit with thousands of dollars in medical bills, you could lose every penny you have and find yourself deep in debt. This section will help you find the right coverage for you, whether your employer offers it or you're shopping for health insurance on your own.

Cracking the Health Code

The jargon used in the health insurance industry is so confusing, it's enough to make anyone feel sick. But you need to learn the essential terms, even if you have group coverage through your employer.

Many health insurance policies require you to pay an annual deductible (the average is around \$650). Once your medical bills exceed that annual deductible, the insurer will start chipping in, usually paying 70% to 100% of the costs. You're responsible for the rest. The percentage you pay is what's often known as the **coinsurance rate**. (One warning: Annoyingly, some companies call the part the *insurer* pays “coinsurance,” so if you're comparing your policy and your spouse's, for example, make sure you're comparing apples to apples.) Whichever way you see this term quoted, you want to make sure the insurer picks up most of the bill. After all, that's what you're paying for.